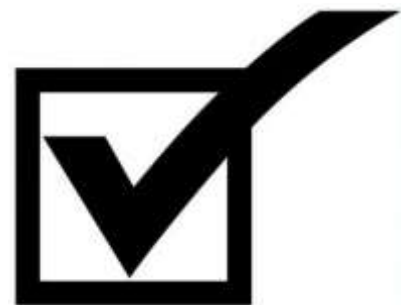




**BUSINESS
PROFESSIONALS**
of **AMERICA**
Giving Purpose to Potential



ADVANCED COLLEGE ACCOUNTING (115)

NATIONAL 2023

CONCEPT KNOWLEDGE:

Multiple Choice (15 @ 2 points each) _____ (30 points)

APPLICATION KNOWLEDGE:

Short Answer _____ (39 points)

Problem 1: Equity Transactions _____ (68 points)

Problem 2: Statement of Cash Flows _____ (50 points)

Problem 3: Bonds _____ (48 points)

TOTAL POINTS _____ ***(235 points)***

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice

Identify the letter of the choice that *best* completes the statement or answers the question.

- | | |
|------|-------|
| 1. D | 9. C |
| 2. A | 10. C |
| 3. A | 11. D |
| 4. D | 12. A |
| 5. B | 13. B |
| 6. D | 14. D |
| 7. D | 15. A |
| 8. C | |

Short Answer (3 points each)

1. Wright Company has net income of \$750,000 and 100,000 shares of common stock outstanding. The company is considering a project that requires \$330,000 and is considering two options:
- Option 1 is issue \$330,000 of 3% bonds payable.
 - Option 2 is to issue an additional 200,000 shares of common stock for \$330,000.
- The additional project will increase income before interest and taxes by \$530,000 each year. The company estimates income tax expense to be 40%.

What would be the earnings per share of Option 1?	\$10.62
What would be the earnings per share of Option 2?	\$3.56

2. At the end of the current year, the bond accounts of Fiennes Services showed the following balances:

Bonds Payable	\$60,000 credit balance
Discount on Bonds Payable	3,100 debit balance

The bonds were retired early for \$54,500. What is the journal entry to record the retirement of the bonds?

Will Ronald record a gain or loss on retirement of the bonds?	Gain
How much will the gain or loss be?	\$2,400

3. Coltrane, Inc. had the following transactions in 2023, its first year of operations:

- Issued 8,000 shares of common stock. Stock has par value of \$0.01 per share and was issued at \$40.00 per share.
- Earned net income of \$300,000.
- Paid dividends of \$12.00 per share.

At the end of 2023, what is total stockholders' equity?	\$524,000
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4. Bonham Inc. has 43,000 shares of common stock outstanding and 2,000 shares of preferred stock outstanding. The common stock is \$6.00 par value; the preferred stock is 10% noncumulative with a \$100.00 par value. On October 15, 2023, the company declares a total dividend payment of \$40,000.

What is the amount of dividend that will be paid for each share of preferred stock?	\$10.00
What is the amount of dividend that will be paid for each share of common stock?	\$0.47

5. Radcliffe Corp. has 18,000 shares of 10%, \$60 par cumulative preferred stock outstanding and 29,000 shares of no-par common stock outstanding. Preferred dividends of \$16,500 are in arrears. At the end of the current year, the corporation declares a dividend of \$192,000.

What is the amount of dividend that will be paid for each share of preferred stock?	\$6.92
What is the amount of dividend that will be paid for each share of common stock?	\$2.33

6. Rupert Corporation reported the following equity section on its current balance sheet. The common stock is currently selling for \$15.50 per share.

Common Stock, \$13 Par, 119,000 shares authorized, 52,000 shares issued and outstanding	\$676,000
Paid-in Capital in Excess of Par—Common	154,000
Retained Earnings	350,000
Total Stockholders' Equity	\$1,180,000

What would be the total stockholders' equity after a 12% common stock dividend?	\$1,180,000
What would be the balance in the Common Stock account after the issuance of a 12% stock dividend?	\$757,120

7. Rickman Corporation reported the following equity section on its current balance sheet. The common stock is currently selling for \$20.50 per share.

Common Stock, \$5 par, 326,000 shares authorized, 151,000 shares issued and outstanding	\$755,000
Paid-In Capital in Excess of Par—Common	131,000
Retained Earnings	306,000
Total Stockholders' Equity	\$1,192,000

After a 2-for-1 stock split, what is the number of issued shares?	302,000
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8. Evanna Corporation's contributed capital totals \$54,000, Retained Earnings equals \$117,000, Treasury Stock equals \$32,400, and Common Stock equals \$18,000. The company does not have any accumulated other comprehensive income (loss), stockholders' equity.

What is the total amount of stockholders' equity?	\$138,600
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Problem 1 (68 Points – 2 points for each account title and amount; no points for date. Account titles may vary slightly.)

Oldman Schools, Inc. is authorized to issue 500,000 shares of \$2 par common stock.

February 1	Issued 106,000 shares at \$6 per share
March 15	When the market price of common stock was \$10 per share, Charter declared and distributed a 10% stock dividend
April 3	Purchased 2,000 shares of the company's common stock as treasury stock, paying cash of \$10 per share. Assume this is the first time the company has purchased any treasury stock.
April 20	Sold 800 shares of the treasury stock for cash of \$11 per share.
May 28	Sold 500 shares of the treasury stock for cash of \$7 per share.
June 5	Paid a cash dividend of \$0.10 per share

Prepare the journal entries to record these transactions. Explanations are not required.

Date	General Journal	Debit	Credit
Feb. 1	Cash	636,000	
	Common Stock		212,000
	Paid-in Capital in Excess of Par – Common		424,000
Mar. 15	Stock Dividend	106,000	
	Common Stock		21,200
	Paid-in Capital in Excess of Par – Common		84,800
Apr. 3	Treasury Stock	20,000	
	Cash		20,000
Apr. 20	Cash	8,800	
	Treasury Stock		8,000
	Paid-in Capital – Treasury		800
May 28	Cash	3,500	
	Paid-in Capital – Treasury	800	
	Retained Earnings	700	
	Treasury Stock		5,000
June 5	Cash Dividend	11,590	
	Cash		11,590

Problem 2 (50 Points – 5 points for each answer)

Condensed financial data of Isaacs Corporation appear below:

Isaacs Corporation
Comparative Balance Sheet
December 31

	<u>Current Year</u>	<u>Prior Year</u>
Assets		
Cash	\$44,000	\$28,000
Accounts receivable	A	32,000
Inventories	B	70,000
Prepaid rent	2,500	2,000
Property, plant, and equipment	224,000	200,000
Accumulated depreciation	<u>(55,000)</u>	<u>(40,000)</u>
Total assets	<u>\$341,500</u>	<u>\$292,000</u>
Liabilities and Stockholders' Equity		
Accounts payable	\$38,000	\$34,000
Accrued liabilities	10,000	12,000
Notes payable (long-term)	130,000	150,000
Contributed capital	50,000	25,000
Retained earnings	<u>113,500</u>	<u>71,000</u>
Total liabilities and stockholders' equity	<u>\$341,500</u>	<u>\$292,000</u>

Isaacs Corporation
Income Statement
Year Ended December 31

Sales		\$477,500
Expenses		
Cost of goods sold	\$290,000	
Selling, general, and administrative expenses	94,000	
Depreciation expense	C	
Interest expense	9,000	
Income taxes	<u>D</u>	<u>425,000</u>
Net income	=	<u>\$ 52,500</u>

Isaacs Corporation
Cash Flow Statement
Year End December 31

Cash Flows from Operating Activities	
Net income	\$52,500
Adjustments to reconcile net income to net cash provided by operating activities:	
Depreciation	15,000
Changes in current assets and current liabilities:	
Accounts Receivable	(4,000)
Inventories	(20,000)
Prepaid Expenses	E
Accounts Payable	4,000
Accrued Liabilities	<u>F</u>
Net cash provided by (used in) operating activities	<u>G</u>
 Cash flows from investing activities	
Purchase of property, plant, and equipment	<u>(24,000)</u>
Net cash provided by (used in) investing activities	<u>(24,000)</u>
 Financing activities	
Additional capital contributed by stockholders	H
Payments on long-term debt	(20,000)
Payment of cash dividends	<u>I</u>
Net cash provided by (used in) financing activities	<u>J</u>
 Increase in cash and cash equivalents	16,000
Cash and cash equivalents, beginning of period	<u>28,000</u>
Cash and cash equivalents, end of period	<u>\$44,000</u>

A cash dividend was declared and paid in full to stockholders during the year.

Required:

Solve for the missing numbers and summarize your answers in the table below. Be sure to indicate in parentheses () if the missing number is negative (that is, a cash outflow).

A	\$36,000	C	\$15,000	E	(\$500)	G	\$45,000	I	(\$10,000)
B	\$90,000	D	\$17,000	F	(\$2,000)	H	\$25,000	J	(\$5,000)

Problem 3 (48 Points – 3 points for each answer)

On January 1, 2023, M. Smith Advertising Company issued \$50,000 of six-year, 3% bonds when the market interest rate was 4%. The bonds were issued for \$47,356. Parker uses the effective-interest method of amortization for bond discount. Semiannual interest payments are made on June 30 and December 31 of each year. Prepare the amortization table for the first four interest payments. (Round your answers to the nearest dollar number.)

Date	Cash Paid	Interest Expense	Discount Amortized	Carrying Amount
6/30/23	\$750.00	\$947.12	\$197.12	47,553.12
12/31/23	750.00	951.06	201.06	47,754.18
6/30/24	750.00	955.08	205.08	47,959.26
12/31/24	750.00	959.19	209.19	48,168.45